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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)

(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2022

CONSUMER BEHAVIOUR

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:

(10×3=30)

- (a) How can artificial intelligence help companies in enhancing customer experience?
- (b) How id, ego and superego are used in marketing?
- (c) Elaborate marketing concept with an example.
- (d) Differentiate between positive and negative motivation.
- (e) Some marketers consider benefit segmentation as the segmentation approach most consistent with the marketing concept. Do you agree or disagree with this view? Why?
- (f) Prepare a list of formal and informal groups to which you belong and give examples of purchases for which each served as a reference group.
- (g) Why is an opinion leader a more credible source of product information than an advertisement for the same product?
- (h) Explain intergroup and interpersonal gifting behaviour with examples.
- (i) What kind of customers are likely to be laggards?
- (j) What is behavioural targeting?

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

Q.2.(a) Write short notes on the following with examples:

- (i) Consumer Retention
- (ii) Customer Satisfaction

OR

(b) Elaborate on the various emerging demographics in consumer behaviour field.

Q.3. (a) Evaluate marketing mix of Amazon company.

OR

(b) Which positioning strategy will you use for following products/services? Give reasons for your answer.

- (i) A laptop
- (ii) An expensive watch
- (iii) Baby shampoo
- (iv) A new airline

Q.4. (a) How personality theories can help in understanding consumer behaviour?

OR

(b) As a marketer, which factors of perceptual selection and interpretation you should consider while formulating marketing?

Q.5.(a) Think of a recent major purchase your family has made. Analyze the roles performed by the various family members in terms of the consumption roles.

OR

(b) What are various subcultures a company can consider while designing marketing plan?

SECTION-C

Lifebuoy/Unilever Asia Private Limited

“Superfast Hand wash”

Lead Agency: Lowe Lintas and Partners

(2×15=30)

Target Markets

The three markets chosen—India, Saudi Arabia, and Pakistan—were the most significant to Unilever because of their sizes and growth opportunities. If it did not “fire” in these markets, Unilever would not be a viable player in the global liquid hand.-wash market.

India: The largest and most valuable among all of Unilever's markets Lifebuoy was an established brand in India in bar soaps, but the brand's closest competitor owned more than half the market in the liquid hand wash category.

Saudi Arabia: The largest market in the Middle East, where Unilever faced a dominant competitor that was growing even larger.

Pakistan: The second largest market in the Indian subcontinent, with two strong Unilever competitors.

Strategic Challenges

In the three countries, antibacterial hand wash was widely used, but there were established antibacterial liquids that have been household names for years.

To illustrate the importance of consumers' need for the product and knowledge of its effectiveness, let's consider Argentina. Because of a swine flu outbreak, public messaging exhorted people to wash with soap but did not specify antibacterial soap. Hence, consumers questioned the necessity of an antibacterial soap.

Because Lifebuoy Hand wash was high-priced, it was expected to appeal to higher-income groups. This was a difficult issue because, in India, the brand's bar soaps were popular among lower-income groups.

In each of the three markets, competitors offered "all powerful" antibacterial solutions. Consumers perceived these products as "germ killers" that offered long-lasting all seasons protection.

In Pakistan, India, and Saudi Arabia, Lifebuoy had to create a unique image. It was a new, high-priced entrant to the liquid hand wash category, and could not easily take on dominant competitors.

Across the three countries. Unilever wanted to target higher-income mothers who were potential hand wash users and convince them to use Lifebuoy Hand wash for their families. These mothers had kids aged between 4 and 12 years and were using competitive brands. When it came to protection, the target mothers believed that their families deserved the best and were not willing to compromise. This gave Unilever a foot in the door opportunity. If the company could convince these mothers that Lifebuoy offered the best protection, it had a chance to capture meaningful market shares.

Objectives

1. Increase preference for Lifebuoy among higher-income segments (defined by a socioeconomic classification index).

This would be tracked by a consumer household panel that Unilever commissioned through a retail audit agency.

2. Establish the Lifebuoy proposition as unique and differentiate it from the competition.

This would be tracked by using quantitative research among consumers after the communication had run for at least a month to measure recall of messaging.

Insights

Through lab research, Unilever could claim that Lifebuoy were better than competitors' products on germ kill: it could kill even more germs.

During consumer research studies, when the results of the lab research were shown to them, consumers said this was unbelievable. Proof or no proof, they were unwilling to budge. That's when Unilever realized that beating competitors by going head to head against them would not work.

During the same lab tests that showed that Unilever's product killed more germs than the competitors' products, the R&D scientists also discovered that Lifebuoy could kill germs faster than the competing products. In fact, Unilever's hand wash could protect hands from germs in 10 seconds, whereas all other hand washes took one full minute to do so!

This was exciting, but Unilever did not want to make the same mistake as before of just using facts and figures to position its product. Rather than going in with just the claim (what good is a faster hand wash anyway?), the company looked extensively for a consumer angle to frame the "faster kill" claim. It was while observing children's habits that the company hit a gold mine!

Universally, children are always in a rush or lazy while doing things they don't particularly enjoy (e.g., eating vegetables, doing their homework, etc.). When it comes to hand-washing, it is no different. For kids, it is an unnecessary chore that they do as quickly as possible, as they just want to be finished with it.

So, regardless of how many germs anyone claimed that their product would kill, it would all be rendered useless by the habits of children, who always wash in a hurry.

The campaign titled "superfast Hand wash" used the underlying insight on children's behaviour not only to make germ protection in just 10 seconds new and relevant for Lifebuoy, but also to render the competition's perceived high ground on germ protection vulnerable. The double blow of a new parameter of time, combined with the lens of children's habits, managed to dislodge the company's competitors as the last word in germ protection in consumers' minds.

The Big Idea

Lifebuoy Superfast Hand wash: 99.9% germ protection in just 10 seconds-because children are always in a hurry, especially when it comes to hand-washing.

Q.6. Attempt all parts of the following:

6(a) Why didn't Unilever use factual-information (e.g., results of lab tests) about the "faster kill" to differentiate Lifebuoy from competition?

6(b) Does the name "Lifebuoy" convey the product's core benefit effectively? Why or why not?